

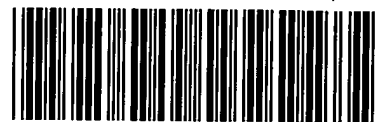
Alpha FMC Group Holdings Limited

**Directors' report and consolidated
financial statements**

Registered number 08555831

31 March 2014

TUESDAY



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Company information

Directors

Mr N Baker
Mr A Ferguson
Mr E Fraser
Mr C Harper
Mr N Kent
Mr T Trotter

Company number

08506571

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

HSBC Bank PLC
28 Borough High Street
Southwark
London
SE11YB

Directors' report

for the period ended 31 March 2014

The directors present their report and the audited financial statements for the period from 4 June 2013 (the date of incorporation) to 31 March 2014.

Company incorporation

The company was incorporated on 4 June 2013, as EMS Powerstar Group Limited, and then changed its name to Alpha FMC Group Holdings Limited on 29 August 2013. On 24 October 2013, the company purchased the entire share capital of Alpha FMC Group Limited.

Principal activities and review of the business

The principal activity of the company is that of a holding company. The principal activity of the group is the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividends

The results for the period are set out on page 6.

No dividend was paid in the period. The directors do not recommend payment of a final dividend.

After deducting taxation, the amount of £149,000 has been transferred to reserves.

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker	(appointed 25 October 2013)
Mr A Ferguson	(appointed 4 June 2013)
Mr E Fraser	(appointed 25 October 2013)
Mr N Kent	(appointed 25 October 2013)
Mr C Harper	(appointed 26 September 2013)
Mr M Norcliffe	(appointed 5 November 2013, resigned 30 April 2014)
Mr T Trotter	(appointed 25 October 2013)

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

KPMG LLP was appointed as auditor by the directors. Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr N Baker
Director

23 January 2015

Strategic report

Business review

The group showed very strong performance during its first period since incorporation, with turnover of £11,399,000 and operating profit of £1,887,000. All four offices: London, Paris, Luxembourg and New York contributed to this performance. The value of Debtors is £7,573,000. There are no concerns over the recoverability of debtors although a small bad debt provision has been introduced during the year to mitigate potential risk. The acquisition of Group was primarily funded by shareholder loans and an external loan of £7,000,000, to satisfy which the company must comply with specific covenant requirements on a quarterly basis. The forecasts prepared show that the Group will continue satisfy these covenant requirements for the foreseeable future.

Future developments

The business plan developed by the directors shows strong growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities. The conditions of the markets in which the company operates are good and show signs of increasing activity. Both geographical and sector expansion will be investigated in the coming years to augment the growth expected in the existing businesses.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continue to operate conservative cash management policies.

By order of the board



Mr N Baker
Director

23 January 2015

Statement of directors' responsibilities in respect of the directors' report, the strategic report and the financial statements

The directors are responsible for preparing the Directors' Report, the Strategic Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice).

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company and of their profit or loss for that period. In preparing each of the group and parent company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgments and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the parent company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha FMC Group Holdings Limited

We have audited the financial statements of Alpha FMC Group Holdings Limited for the period from 4 June 2013 (the date of incorporation) to 31 March 2014 set out on pages 6 to 24. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 March 2014 and of the group's profit for the period then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' and Strategic Reports for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Wayne Cox *Senior Statutory Auditor*

for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

St Nicholas House

Park Row

Nottingham

NG1 6FQ

Dated: 23 January 2015

Consolidated profit and loss account
for the 10 month period ended 31 March 2014

	<i>Note</i>	2014 £000
Group turnover	2	11,399
Cost of sales		(7,393)
Gross profit		<u>4,006</u>
Administrative expenses- recurring		(1,295)
Administrative expenses- non-recurring	3	(249)
Amortisation of goodwill		(575)
Total administrative expenses		<u>(2,119)</u>
Group operating profit before non-recurring administrative expenses and goodwill		2,711
Administrative expenses- non-recurring		(249)
Amortisation of goodwill		(575)
Operating profit	4	1,887
Other interest receivable and similar income	5	4
Interest payable and similar charges	6	(1,497)
Profit on ordinary activities before taxation		<u>394</u>
Tax on profit on ordinary activities	7	(245)
Profit for the period	19	<u><u>149</u></u>

All of the group's turnover and operating profit is derived from acquisitions in the period.

Consolidated balance sheet
as at 31 March 2014

	<i>Note</i>	2014	
		£000	£000
Fixed assets			
Intangible assets – goodwill	10		26,997
Tangible assets	11		77
			27,074
Current assets			
Debtors	13	7,573	
Cash at bank and in hand		7,137	
		14,710	
Creditors: amounts falling due within one year	14	(10,792)	
Net current assets			3,918
Total assets less current liabilities			30,992
Creditors: amounts falling due after more than one year	15	(30,152)	
Net assets			840
Capital and reserves			
Called up share capital	18		508
Share premium	19		203
Profit and loss account	19		129
Shareholders' funds			840

Approved by the board and authorised for issue on 23 January 2015


Mr N Baker
Director

Company registered number : 08555831

Company balance sheet
as at 31 March 2014

	<i>Note</i>	2014	£000
Fixed assets			
Investments	<i>12</i>		-
Current assets			
Debtors	<i>13</i>		711
Net assets			711
Capital and reserves			
Called up share capital	<i>18</i>		508
Share premium	<i>19</i>		203
Shareholders' funds			711

Approved by the board and authorised for issue on 23 January 2015



Mr N Baker
Director

Company registered number: 08555831

Consolidated cash flow statement
for the 10 month period ended 31 March 2014

	<i>Note</i>	2014 £000
Cash flow from operating activities	22	7,190
Returns on investments and servicing of finance	23	(401)
Taxation		(319)
Capital expenditure and financial investment	23	(25)
Acquisitions and disposals	23	(22,053)
Cash (outflow) before management of liquid resources and financing		(15,608)
Financing	23	17,965
Increase in cash in the period		<u>2,357</u>

Reconciliation of net cash flow to movement in net debt

Increase in cash in the period		2,357
Cash inflow from increase in debt	24	(17,627)
On acquisition	24	4,780
Other non-cash changes	24	(12,525)
Movement in net debt in the period		(23,015)
Net debt at the start of the period		-
Net debt at the end of the period	24	<u>(23,015)</u>

Consolidated statement of total recognised gains and losses
for the 10 months ended 31 March 2014

	2014 £000
Group profit for the period	149
Net exchange differences on the retranslation of net investments and related borrowings	(20)
Total recognised gains and losses relating to the period	129

Reconciliation of movement in shareholders' funds
for the 10 months ended 31 March 2014

	Group 2014 £000	Company 2014 £000
Profit for the period	149	-
Other recognised gains and losses relating to the period	(20)	-
Issue of share capital	711	711
Net movement in shareholders' funds	840	711
Shareholders' funds on incorporation	-	-
Closing shareholders' funds	840	711

Notes

(forming part of the financial statements)

1 Accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are prepared in accordance with applicable accounting standards (United Kingdom Generally Accepted Accounting Practice), and under historical cost accounting rules.

Going Concern

The group's business activities, together with the factors likely to affect its future development, performance and position are set out in the Strategic report. The Group's forecasts and projections, taking into account reasonably possible changes in trading performance, show that the Group should be able to operate with its currently available facilities. The Group has sufficient financial resources together with assets that are expected to generate cash flow in the normal course of business. As a consequence the Directors have a reasonable expectation that the Company and the Group are well placed to manage their business risks and to continue in operational existence for the foreseeable future. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary undertakings made up to the 31 March 2014. The acquisition method of accounting has been adopted. Under this method, the results of subsidiary undertakings acquired or disposed of in the year are included in the consolidated profit and loss account from the date of acquisition or up to the date of disposal.

Under Section 408 of the Companies Act 2006 the Company is exempt from the requirement to present its own profit and loss account.

Goodwill

Purchased goodwill (representing the excess of the fair value of the consideration given over the fair value of the separable net assets acquired) arising on consolidation in respect of acquisitions is capitalised. Positive goodwill is amortised to nil by equal annual instalments over its estimated useful life. The estimated useful life of the group's goodwill is 20 years.

Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost less depreciation. Depreciation is provided at rates calculated to write off the cost less estimated residual value of each asset over its expected useful life, as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3-5 years straight line
Fixtures, fittings and equipment	4 years straight line

Investments

Fixed asset investments are stated at cost less provision for diminution in value.

Impairment of fixed assets and goodwill

The carrying amounts of the Group's assets are reviewed for impairment when events or changes in circumstances indicate that the carrying amount of the fixed asset may not be recoverable. If any such indication exists, the asset's recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its income-generating unit exceeds its recoverable amount. Impairment losses are recognised in the profit and loss account unless it arises on a previously revalued fixed asset. An impairment loss on a revalued fixed asset is recognised in the profit and loss account if it is caused by a clear consumption of economic benefits. Otherwise impairments are recognised in the statement of total recognised gains and losses until the carrying amount reaches the asset's depreciated historic cost.

Notes *(continued)*

1 **Accounting policies** *(continued)*

Tangible fixed assets and depreciation *(continued)*

Impairment losses recognised in respect of income-generating units are allocated first to reduce the carrying amount of any goodwill allocated to income-generating units, then to any capitalised intangible asset and finally to the carrying amount of the tangible assets in the unit on a pro rata or more appropriate basis. An income generating unit is the smallest identifiable group of assets that generates income that is largely independent of the income streams from other assets or groups of assets.

Calculation of recoverable amount

The recoverable amount of fixed assets is the greater of their net realisable value and value in use. In assessing value in use, the expected future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the rate of return expected on an equally risky investment. For an asset that does not generate largely independent income streams, the recoverable amount is determined for the income-generating unit to which the asset belongs.

Reversals of impairment

An impairment loss is reversed on intangible assets and goodwill only if subsequent external events reverse the effect of the original event which caused the recognition of the impairment or the loss arose on an intangible asset with a readily ascertainable market value and that market value has increased above the impaired carrying amount. For other fixed assets where the recoverable amount increases as a result of a change in economic conditions or in the expected use of the asset then the resultant reversal of the impairment loss should be recognised in the current period.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Foreign currencies

Transactions in foreign currencies are recorded using the rate of exchange ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the contracted rate or the rate of exchange ruling at the balance sheet date and the gains or losses on translation are included in the profit and loss account.

The assets and liabilities of overseas subsidiary undertakings are translated at the closing exchange rates. Profit and loss accounts of such undertakings are consolidated at the average rates of exchange during the year. Gains and losses arising on these translations are taken to reserves, net of exchange differences arising on related foreign currency borrowings.

Leases

Assets acquired under finance leases are capitalised and the outstanding future lease obligations are shown in creditors. Operating lease rentals are charged to the profit and loss account on a straight line basis over the period of the lease.

Post-retirement benefits

The Group operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the Group in an independently administered fund. The amount charged to the profit and loss account represents the contributions payable to the scheme in respect of the accounting period.

Taxation

The charge for taxation is based on the profit for the year and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred tax is recognised, without discounting, in respect of all timing differences between the treatment of certain items for taxation and accounting purposes which have arisen but not reversed by the balance sheet date, except as otherwise required by FRS 19.

Notes (continued)

Classification of financial instruments issued by the Group

Following the adoption of FRS 25, financial instruments issued by the Group are treated as equity (i.e. forming part of shareholders' funds) only to the extent that they meet the following two conditions:

- a) they include no contractual obligations upon the Company (or Group as the case may be) to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company (or Group); and
- b) where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

Finance payments associated with financial liabilities are dealt with as part of interest payable and similar charges. Finance payments associated with financial instruments that are classified as part of shareholders' funds (see dividends policy), are dealt with as appropriations in the reconciliation of movements in shareholders' funds.

Interest bearing borrowings

Immediately after issue debt is stated at the fair value of the consideration received on the issue of the capital instrument after deduction of issue costs. The finance cost of the debt is allocated to periods over the term of the debt at a constant rate on the carrying amount.

Turnover

Turnover represents amounts receivable for services, net of VAT. Turnover is recognised upon delivery of the service.

Dividends on shares presented within equity

Dividends are only recognised as a liability to the extent that they are declared prior to the year end. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

Cash and liquid resources

Cash, for the purpose of the cash flow statement, comprises cash in hand and deposits repayable on demand, less overdrafts payable on demand.

Liquid resources are current asset investments which are disposable without curtailing or disrupting the business and are either readily convertible into known amounts of cash at or close to their carrying values or traded in an active market.

2 Turnover

	10 months to 31 Mar 14 £000
<i>Geographical market</i>	
United Kingdom	5,504
Europe	3,049
Rest of the World	2,846
	11,399

Notes (continued)

3 Administrative expenses – non-recurring

10 months to
31 Mar 14
£000

Issue of shares to employees in exchange for surrender of certain employment rights	249
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The group issued 'free' shares to employees in exchange for them surrendering certain employment rights. The fair value of the shares issued was £249,000.

4 Operating profit

10 months to
31 Mar 14
£000

Operating profit is stated after charging:

Amortisation of goodwill	575
Depreciation of tangible fixed assets	19
Profit on disposal of fixed assets	(1)
Operating leases - Land and buildings	32

Auditor's remuneration

- audit of these financial statements	10
- audit of financial statements of subsidiaries	32
- taxation compliance services	11
- other tax advisory services	9

5 Interest receivable

10 months to
31 Mar 14
£000

Bank interest	4
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6 Interest payable and similar charges

10 months to
31 Mar 14
£000

On bank loans and overdraft	322
Loan note interest	1,073
Amortisation of issue costs of loan notes	18
Monitoring fees	84
	1,497

Notes (continued)

7 Taxation

	10 months to 31 Mar 14 £000
<i>UK corporation tax:</i>	
Current tax on income in the period	10
<i>Foreign tax:</i>	
Current tax on income in the period	35
Total current tax	45
<i>Deferred tax</i>	
Charge for the period	200
	245

Factors affecting the tax charge for the period

	10 months to 31 Mar 14 £000
<i>Current tax reconciliation</i>	
Profit on ordinary activities before taxation	394
Profit on ordinary activities before taxation multiplied by the standard rate of UK corporation tax of 23% (2013: 24%)	91
<i>Effects of:</i>	
Non deductible expenses	155
Marginal relief	(1)
Capital allowances in excess of depreciation	(2)
Other short term timing differences	120
Unrelieved tax losses and other deductions arising in the period	(353)
	(81)
Current tax charge for the period	10

Reductions in the UK corporation tax rate from 23% to 21 % effective from 1 April 2014) and 20% (effective from 1 April 2015) were substantively enacted on 2 July 2013. This will reduce the company's future current tax charge accordingly.

The deferred tax asset has been calculated based on the rate of 23% substantively enacted at the balance sheet date.

Notes *(continued)*

8 Directors' remuneration

	10 months to 31 Mar 14 £000
Directors' emoluments	893
Company pension contribution to defined contribution schemes	5
	898

Remuneration disclosed above included the following amounts paid to the highest paid director:

	10 months to 31 Mar 14 £000
Remuneration for qualifying services	135
Company pension contribution to defined contribution schemes	2
	137

9 Employees

Number of employees

The average monthly number of employees (including directors) during the period was:

	10 months to 31 Mar 14 Number
Administrative	6
Sales	75
	81

Employment costs

	10 months to 31 Mar 14 £000
Wages and salaries	2,849
Social security costs	609
Other pension costs	11
	3,469

Notes (continued)

10 Intangible fixed assets

	Goodwill £000
<i>Cost or valuation:</i>	
On incorporation	-
Acquisitions	27,572
At end of period	27,572
<i>Accumulated amortisation:</i>	
On incorporation	-
Charge for the period	(575)
At end of period	(575)
<i>Net book value:</i>	
At 31 March 2014	26,997

11 Tangible fixed assets

<i>Group</i>	Leasehold improvements £000	Fixtures, fittings tools and equipment £000	Computer equipment £000	Total £000
<i>Cost:</i>				
On incorporation	-	-	-	-
Additions	-	8	18	26
Disposals	-	-	(2)	(2)
Acquired in business combination	5	11	56	72
At 31 March 2014	5	19	72	96
<i>Accumulated depreciation:</i>				
On incorporation	-	-	-	-
Charge for the period	(3)	(2)	(14)	(19)
At 31 March 2014	(3)	(2)	(14)	(19)
<i>Net book value:</i>				
At 31 March 2014	2	17	58	77
On incorporation	-	-	-	-

Notes (continued)

12 Fixed asset investments

<i>Company</i>	Shares in subsidiary undertakings £000
<i>Cost:</i>	
On incorporation	-
Additions	-
At 31 March 2014	-
<i>Net book value:</i>	
At 31 March 2014	-
On incorporation	-

The undertakings in which the Company's interest at period end is more than 20% are as follows.

Subsidiary undertakings	Country of incorporation	Principal activity	Class and percentage of shares held
Alpha FMC Group Limited	UK	Intermediate holding company	100% ordinary
Alpha Financial Markets Consulting Group Limited	UK	Intermediate holding company	100% ordinary*
Alpha Financial Markets Consulting Limited	UK	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting (France) SA	France	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting Inc	USA	Consultancy services to asset/wealth management industry	100% ordinary*
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	Consultancy services to asset/wealth management industry	100% ordinary*

* Indirect holdings

13 Debtors

	Group 2014 £000	Company 2014 £000
Trade debtors	5,575	249
Amounts owed by group undertakings	-	462
Corporation tax debtor	528	
Deferred tax asset	113	-
Other debtors	1,111	-
Prepayments and accrued income	246	-
	7,573	711

Notes (continued)

14 Creditors: amounts falling due within one year

	Group 2014 £000
Trade creditors	1,487
Corporation tax debtor	10
Other taxes and social security costs	777
Other creditors	5,473
Accruals and deferred income	3,045
	10,792

15 Creditors: amounts falling due after more than one year

	Group 2014 £000
Bank loans and overdrafts	6,808
Shareholder loan notes	23,344
	30,152

The maturity of bank loans and overdrafts is as follows:

	Group 2014 £000
In the second to fifth years	7,000
	7,000
Less: unamortised issue costs	(192)
	6,808

Alpha FMC Group Limited has a Mezzanine Facility of £7,000,000 with Beechbrook Capital LLP. The loan is repayable in full on 24 October 2018 or earlier upon the sale or listing of the Group. Interest is accrued at a rate of either LIBOR plus 10% per annum if the group choose to pay the interest on the interest repayment date, or at 8% per annum plus the PIK rate of 4.5% if they choose to capitalise the PIK element of the rate. Interest repayment dates are 31 March 2014 and every quarter thereafter.

Notes (continued)

15 Creditors: amounts falling due after more than one year (continued)

The maturity of loan notes is as follows:

	Group 2014 £000
In the second to fifth years	281
Over five years	23,063
	23,344

Shareholder loan notes

The shareholders invested £280,534 of loan notes in Alpha FMC Group Limited on 24 October 2013. As part of the agreement Alpha FMC Group Limited had to transfer an amount of £280,534 into an Escrow account, and therefore interest is accrued per the interest actually received in the Escrow account. The loan note is repayable in full with any interest accrued between 6 and 18 months from 24 October 2013.

The shareholders invested £21,988,914 of loan notes in Alpha FMC Group Limited on 24 October 2013. The loan is repayable on 31 March 2020 or earlier upon the sale or listing of the company. Interest is accruing at a rate of 11% per annum and is rolled up by the issue of additional loan notes.

16 Deferred tax asset

The deferred tax asset, included in debtors (note 13) is made up as follows:

	Deferred taxation £000
Balance on incorporation	-
Acquisitions	313
Utilised during the period	-
Charge to profit and loss account	(200)
	113
Balance at 31 March 2014	113
	2014 £000
Difference between accumulated depreciation and capital allowances	(10)
Other timing differences	104
Tax losses	19
	113

Notes (continued)

17 Acquisitions

On 24 October 2013, the Company acquired all of the shares of Alpha FMC Group Limited, which in turn acquired the entire share capital of Alpha Financial Markets Consulting Group Limited. The resulting goodwill of £27,572,000 was capitalised and will be written off over 20 years.

	Book and fair value £000
Fixed assets	
Tangible	72
Current assets	
Debtors	5,306
Cash	4,780
Total assets	10,158
Liabilities	
Provisions	(2,365)
Creditors	(1,755)
Total liabilities	(4,120)
Net assets	6,038
Goodwill	27,572
Purchase consideration and cost of acquisition	33,610
<i>Satisfied by:</i>	
Shares allocated	124
Loan notes allocated	11,433
Cash	22,053

The acquired undertaking made a profit of £1,919,000 from the beginning of its financial year to the date of acquisition. In its previous financial year commencing on 1 April 2012 the profit was £1,404,000.

18 Called up share capital

	2014 £
<i>Allotted, called up and fully paid:</i>	
461,552 A1 ordinary shares of £0.01 each	4,616
45,948 A2 ordinary shares of £0.01 each	459
497,824 B ordinary shares of £1 each	497,824
490,000 C ordinary shares of £0.01 each	4,900
	507,799

During the period the Company issued: 461,552 £0.01 A1 ordinary shares for a consideration of £189,236, settled in cash; 45,948 £0.01 A2 ordinary shares for a consideration of £18,839, settled in cash; 497,824 £1 B ordinary shares, of which £248,928 were settled in cash, and £248,896 were given to employees in exchange for them giving up certain employment rights (see note 3); and 490,000 £0.01 C shares for a consideration of £4,900, settled in cash.

Notes (continued)

19 Share premium and reserves

	Group Profit and loss account £000	Group Share premium £000	Company Share premium £000
Balance on incorporation	-	-	-
Profit for the period	149	-	-
Premium on share issues, less expenses	-	203	203
Exchange adjustments	(20)	-	-
Balance at 31 March 2014	129	203	203

The company does not trade and had no profit or loss in the period.

20 Commitments

Annual commitments under non-cancellable operating leases are as follows:

<i>Group</i>	Land and buildings £000
<i>Operating leases which expire:</i>	
Within one year	18
In the second to fifth years	-
Over five years	-
	18

The company has no annual commitments under non-cancellable operating leases.

21 Group pension contributions

The group operates a money purchase pension scheme for the benefit of certain of its directors and employees. The assets of the scheme are held separately from those of the group in an independently administered fund. Contributions during the period amounted to £10,554.

The number of directors accruing benefits under the scheme was three.

Notes (continued)

22 Reconciliation of operating profit to operating cash flows

	10 months to 31 Mar 14 £000
Operating profit	1,887
Depreciation, amortisation and impairment charges	594
Increase in debtors	(2,182)
Increase in creditors	6,642
Charge in relation to shares	249
Net cash flow from operating activities	7,190

23 Analysis of cash flows

	10 months to 31 Mar 14 £000
Returns on investments and servicing of finance:	
Interest received	4
Interest paid	(405)
	(401)
Capital expenditure and financial investment:	
Purchase of tangible fixed assets	(26)
Sale of tangible fixed assets	1
	(25)
Acquisitions and disposals	
Purchase of subsidiary undertaking	(22,053)
	(22,053)
Financing	
Issue of ordinary share capital	338
Debt due after more than one year:	
New secured loan	17,627
	17,965

Notes (continued)

24 Analysis of net debt

	On incorporation £000	Cash flow £000	On acquisition £000	Non-cash movement £000	Closing balance £000
Cash at bank and in hand	-	2,357	4,780	-	7,137
Debt due after one year	-	(17,627)	-	(12,525)	(30,152)
Total	-	(15,270)	4,780	(12,525)	(23,015)

25 Related party relationships and transactions

The Company is controlled by Baird Capital Partners.

Group

Alpha FMC Group Limited issued loan notes to Baird Capital totalling £9,856,000 on 24 October 2013. The balance outstanding at the period end is £10,337,000.

Company

The company has taken advantage of the exemption in Financial Reporting Standard Number 8 from the requirement to disclose transactions with group companies.